

Module 13

Business Assurance

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer 1(a)

Existence

The risk of material misstatement relating to Kape's investment properties in terms of existence is considered to be high.

- The investment properties amounted to HK\$2,299 million as at 31 December 2022, representing 65% of the total assets, which are material to the consolidated financial statements of Kape.
- The Group hold investment properties in various countries and acquired some new properties during the fiscal year 2022.
- The travel restrictions have imposed difficulty on both management and auditors as they are required to physically monitor and check the existence of these investment properties.

Valuation

The risk of material misstatements relating to Kape's investment properties in terms of valuation is considered to be high.

- The fair value of the investment properties changed significantly during the fiscal year 2022, and the amount is material to the profit and loss, which represent 147% of Kape's loss for the year.
- The principal assumptions used by the management's valuation involve significant management estimates and judgments.
- The valuation may involve many uncertainties because Kape holds properties in different countries, and the global market has suffered from the COVID-19 pandemic, which has created many additional uncertainties.

Answer 1(b)

The external valuer is a management's expert. A management's expert is an individual or organisation possessing expertise in a field other than accounting or auditing whose work is used by the entity to assist the entity in preparing the financial statements.

HKSA 500 *Audit Evidence* requires the auditor to:

- Evaluate the competence, capabilities, and objectivity of that expert;
- Obtain an understanding of the work of the expert; and
- Evaluate the appropriateness of that expert's work as audit evidence for the relevant assertions.

The audit team would ask the management's expert the following questions:

- What kind of professional qualifications does the external valuer hold?
- Does the external valuer have past experience in valuating properties?
- Does the external valuer have any other relationship with Kape and its key management staff or directors?
- What is the scope of work of the external valuer?
- How does the external valuer obtain or source the information used in the valuation?
- What are the key assumptions in the valuation? How are they being determined?
- What is the valuation model adopted, and why is it appropriate?
- How does the external valuer evaluate the appropriateness and consistency of market comparables?
- How does the external valuer evaluate the appropriateness of market data input, e.g., discount rate?

Answer 1(c)

The relevant audit procedures should include the following:

Existence

- Obtain the full breakdown of investment properties as of 31 December 2022 from management and identify the investment properties as of 31 December 2022.
- Perform a land search on the investment properties under the title of Kape as of 31 December 2022.
- Perform site visits to the investment properties of Kape.
- Due to COVID-19 travel restrictions, auditors may also perform virtual site visits, such as by using real time video calls to inspect the existence of the properties.
- For investment properties newly acquired for the year ended 31 December 2022, inspect purchase documents and relevant payment records/bank statements.

Valuation

- Understand and evaluate the management's internal control and assessment process of valuation of investment properties.
- Obtain the valuation report provided by the external valuer and enquire the external valuer and management to understand the rationale of the chosen valuation method and the assumptions applied.
- Evaluate if the valuation methodology and key assumptions used in the valuation are appropriate. Verify the data used in the valuation report.
- When possible, involve an auditor's valuation expert to assist the audit team with such evaluation.
- Assess the reasonableness of assumptions applied by comparing them to industry practices.
- Compare the data inputs adopted in the valuations, such as recent transaction prices of comparable properties, on a sample basis, to market and industry data.
- Reperform the calculation and perform mathematical checks of the management's schedule.
- Evaluate the experts' findings and whether these have been appropriately reflected in the consolidated financial statements.

Answer 2

The relevant audit procedures should include the following:

- Inquire management to understand management's controls over the revenue cycle.
- Perform a walk-through test to understand and evaluate management's controls over the revenue cycle.
- Validate the key management controls of the revenue cycle.
- Test the reliability of the data populated in the monthly rental income report provided by management.
- Obtain the lease contracts from management, check the details of the lease contract, and agree to the information stated in the monthly income report.
- Check rental concession letters between Kape and the tenants and examine if no rental income has been recognised in the 2-month concession period.
- Perform recalculation of the rental income based on the details of the lease information in the monthly rental income contract.
- Review the rental contract period and terms to assess whether the rental income has been recognised in the correct period.
- Obtain the exchange rates used by Kape for foreign currency translation and compare them with the bank's exchange rates to evaluate the accuracy.
- Test the receipts of the settlement from the tenants.

Answer 3(a)

Completeness

The risk of material misstatement relating to Kape's long-term borrowings in terms of completeness is considered to be low.

- The majority of the Group's borrowings are drawn from two banks, did not involve complex calculations or structures, and appear to be straightforward.
- There was no significant audit issue or disagreement with the audit evidence over the bank borrowing balance in the past year's audit.
- There is no indicators that there are new borrowing contracts entered into by the Group during the year.

Classification

The risk of material misstatement relating to Kape's long-term borrowings in terms of classification is considered to be high.

- There were breaches of the loan covenant of the Galaxy Bank borrowings in the financial year, which may trigger the repayable on demand clause.
- The Group did not obtain any waiver letters from Galaxy Bank before the year-end date and the loan from Galaxy Bank should be due immediately and reclassified to the current portion.
- As the balance of the bank borrowings are material to the consolidated financial position and based on the unaudited management accounts, the amount of HK\$800,000,000, is around 61% of the total liabilities. This has apparently been misclassified as a long-term portion, which may imply that the Group's finance team is not competent in adhering to accounting standards.

Answer 3(b)

The relevant audit procedures should include the following:

- Independently obtain direct confirmation from respective banks to confirm the completeness and accuracy of the borrowings as at the reporting date.
- Follow up non-reply confirmations by calling the banks.
- For bank confirmations received, verify the address of the sender and whether it is from the appropriate bank address.
- If there is a discrepancy identified between the amounts stated in the confirmation and the bank borrowing sub-ledger, follow up with management for a reconciliation of the difference noted.
- Inquire management about the nature of the discrepancy noted and examine relevant documents which support the discrepancy.
- Compare the details of the borrowings in the confirmation with the loan agreement to verify any updates in the loan arrangements.

Answer 3(c)

The relevant audit procedures should include the following:

- Check the details of the loan agreement banking facilities letter, such as loan period, terms, and other conditions relating to the current/ non-current classification of the corresponding borrowings.
- Inquire or interview the appropriate authorised person from the banks to understand the terms and conditions in the loan agreements and assess whether the Group has interpreted the repayment timing correctly.
- Evaluate and assess that borrowings are not in default by reviewing management's working papers or by re-calculating to ensure compliance with debt covenants.
- Review board minutes and cash books to confirm that all loans have been recorded.

Answer 4(a)

- HKSA 570 (Revised) *Going Concern* sets out that under a going concern basis of accounting, the financial statements are prepared on the assumption that the entity is a going concern and will continue its operations for the foreseeable future.
- Obtain sufficient appropriate audit evidence regarding, and conclude on, the appropriateness of management's use of the going concern basis of accounting in the preparation of the financial statements.
- Conclude, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the entity's ability to continue as a going concern.
- Report in accordance with HKSA 570 (Revised).

Answer 4(b)

Indicators of going concern risk:

- Adverse trends of liquidity conditions, declining cash positions, and negative cash flow.
- Adverse changes in the global environment, e.g., COVID-19, that may lead to a deterioration of the rental business.
- Delay of the construction project that may delay the projected cash inflow from properties pre-sale.
- Delay of the construction project that may require additional construction expenditure.
- Delay of the construction project that may trigger litigation claims and result in contingent liabilities.
- Breach of major covenant over Galaxy Bank borrowing contract that may result in call back of the loan of HK\$800,000,000, while the Group net current assets were just HK\$783,723,000 per consolidated management account.
- Uncertainties on whether the measures proposed by management can be successfully implemented.
- Uncertainties on the negotiation results with Galaxy Bank and whether the bank will grant the waiver, extend the loans, or impose further restrictions.
- Declining property prices that may result in fewer proceeds from the sale of investment properties.
- Uncertainties on obtaining Silver Bank's consent on modified financing arrangement, which will further worsen the financial position of Kape.
- An adverse business environment that may impose difficulties on management fund-raising plans.

Answer 4(c)

The audit team should perform the following audit procedures:

- Evaluate the reliability of the underlying data generated to prepare the forecast;
- Compare the key assumptions and estimates used by Kape with publicly available data and market data;
- For the forecast revenue growth of different business lines, enquire of management their development plans and compare the estimated growth rate with historical data;
- For the expected cash outflows related to operating costs, assess their reasonableness by comparing to historical costs and consider if any adjustments are necessary as a result of the Group's development plans;
- Identify if any significant litigations against Kape, especially on the construction project, have taken place which may impact management's current plans;
- Obtain market information and evidence to support the estimated market value of the investment properties planned for sale; if possible, engage an auditor's expert to determine the approximate market value of the investment properties and compare it to the management's estimated value;
- Evaluate if a feasible time could be achieved to obtain the proceeds through the sale of the investment properties; if the audit team is not familiar with the legal process, enquire the company legal counsel for confirmation;
- Evaluate whether the project has taken into account the repayment of existing loan principals and interests based on the repayment schedule and terms stated in the loan agreements;
- If a loan repayment extension/ waiver letter has been granted by the bank, obtain direct confirmation from the bank;
- Obtain the quantitative analysis regarding the pre-sell of properties detail and whether the expected proceed is reasonable and if the plan is feasible;
- Obtain a list of capital commitments and ensure that management has taken these commitments into account;
- Obtain the latest management accounts and/or management meeting minutes to ascertain if these measures were discussed and implemented and any additional information; and
- Perform a sensitivity analysis to evaluate if a significant shortfall will result.

Answer 5

Implication

- If Kape is able to obtain a waiver letter and a revised banking facilities letter from Galaxy Bank, there may be a revised repayment schedule and other terms and conditions in the loan agreement. This may trigger a different view on the Group's going concerns basis as the borrowing from Galaxy Bank may still be classified as a long-term borrowing.
- The change of terms and clauses of the borrowing contracts with Galaxy Bank may trigger cross breach over Silver Bank's borrowings.

Audit procedures

- The audit team should verify whether the description and details in the waiver letter and a revised banking facilities letter from the bank are consistent with the facts that management has presented.
- The audit team should independently send confirmation or perform interviews with the banks to verify the banking facilities letter is the most updated contract as at the year-end date.
- The audit team should examine whether the updated key terms and covenants has been properly disclosed in the consolidated financial statements.
- The audit team should also evaluate whether the presentation of such bank loans in current or non-current liabilities is appropriate following the relevant terms in the loan agreement and accounting standards.
- As there were material assets pledged for the bank borrowings, the auditors need to assess whether proper disclosure is provided in the consolidated financial statements.
- The audit team should compare the expected project completion date by Kape to the completion date as stated in the revised banking facilities letter and evaluate the compliance with the new covenants.
- The audit team should evaluate whether the revised borrowing contracts may trigger breach over the borrowing covenants.
- The audit team should also consider whether the breach of covenants during the years and its consequence has been disclosed in the consolidated financial statements.

* * * END OF SECTION A * * *

SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer 6(a)

The audit senior is required to respect the confidentiality of information acquired because of professional or business relationships in an audit context. This is one of the fundamental ethical principles in the Code of Ethics for Professional Accountants ("Code of Ethics").

Information obtained from an audit should not be disclosed to third parties without proper and specific authority unless there is a legal or professional right or duty to disclose.

Although the audit senior did not actually disclose the client information to his mother, he has taken advantage of the confidential information from that client meeting.

His intention is clearly to let his mother gain a profit from investing in the listed company due to the potential acquisition. His mother is a close family member according to the definition in the Code of Ethics.

Whether or not the acquisition will be completed or result in a gain from the shares purchase is not relevant in this situation.

This is considered as a breach of professional conduct.

Furthermore, due to the financial interest in this target listed company, it is believed that his objectivity will be compromised when he audits this target entity.

Accordingly, we disagree with the audit senior's evaluation.

Answer 6(b)

Accepting loans from an audit client may create a self-interest threat.

In general, a member of an audit engagement team cannot accept a loan from a client unless it is made under normal lending procedures, conditions, and terms, such as a bank overdraft.

In this situation, the audit senior accepts a mortgage loan offered by his audit client, but the terms of the mortgage loan are determined at the market terms, which is the same as any third parties with the bank.

In addition, the mortgage loan is not material to the size of the bank, and the work performed by the audit senior will not be on his own but will be supervised.

Accordingly, this will not create a significant threat when this audit senior audits this audit client.

We agree with the audit senior's evaluation

Answer 6(c)

Financial interests in a client may create a self-interest threat.

This threat is seen as significant, and therefore no direct or material indirect financial interest in a client can be held by the firm, network firm, engagement team member, immediate family member, or other parties in the office of the engagement partner or other partner or managerial employee providing other services.

The wife of the audit senior is an immediate family member of the audit senior.

The fact that the shares were purchased by his wife three years ago is not relevant because the financial interest in this audit client will exist while this audit senior audits the financial statements of this new audit client.

The threat is significant unless his wife immediately disposes of her shares in this audit client; otherwise, the threat cannot be removed.

Accordingly, we disagree with the audit senior's evaluation and disagree that he can continue to act as audit senior in the engagement team of this audit client.

Answer 7(a)

Test system processing by submitting test transactions (both normal and with error conditions) to determine if unit cost is processed properly, or, where error conditions exist, if the unit costs are rejected and reported (a test data approach).

Casting (addition) and cross-casting (multiplication) of determination of the unit costs and information can be agreed to the sub-ledgers.

Review exception (error) reports for accuracy and evidence of the follow-up of errors.

Search for transactions with missing information fields.

Review the formula for the calculation of the weighted average costing and ascertain if the formula is correct.

Search for duplicate entries, including if the unit cost may have been input multiple times.

Search for accounting entries that were posted at unusual times, such as at night or on weekends, or just before year-end – in particular, look for an adjustment on the unit cost of each inventory item.

Search for transactions with unusual sources. For example, credits to the inventories should be mapped with the costs of goods sold recorded in the profit and loss account.

Search for abnormal or unauthorised debit entries in inventories accounts.

Reconcile the actual costs incurred for purchased goods to the accounts payable system data input for calculation of the unit cost.

Answer 7(b)

Enquire the management to investigate the cause of the incorrect formula.

The audit team should reassess the risk of material misstatements on the inventories and consider if they can continue to rely on the automated controls over inventory costing.

This risk of material misstatements on inventory will increase, and thus the audit team should expand the sample size by selecting more samples from the systems to ascertain if any incorrect formulas of other items may be identified.

If the cause of errors is due to human error, such as the incorrect inputting of formulas without being detected, the audit team should require the management to evaluate if similar exceptions may be found for other items, and hence if it is necessary to recalculate the unit cost by correcting the formula.

If it is due to a system glitch, the audit team should ask the management to fix the glitch. If the glitch cannot be fixed immediately, the audit team should ask the management to estimate the amount of misstatement.

The audit team should assess if the remediation process applied by the management is effective and if the material misstatement is material to the financial statements, which may require the management to make adjustments to correct the error.

If the control deficiencies are significant, the audit team should report to those charged with governance.

Answer 8(a)

The board of directors of Gin Corporation shall ensure transparency – that is, appropriate and adequate reporting in annual reports.

In view of the public concerns being raised in connection with its non-compliance incident, the board of directors shall disclose:

- A summary of the incidents of non-compliance;
- A report detailing if the non-compliance has caused significant disruptions of its operations, e.g., foreclosure of the mining or extraction activities or termination of any licensing rights;
- An explanation on whether the existing practices and policies around these processes were in place whether a deficiency of internal control has been noted;
- The results of the investigation and the remedial actions which have been implemented;
- Whether the Audit Committee has reviewed the management evaluation and is satisfied with the remedial actions;

- The impact of the financial statements in view of the penalties and potential lawsuits, and any provisions or expenses being recorded in the current period's financial statements; and
- The company's set up of a new compliance department to address any compliance matters, which will form part of the risk management practice and policies.

Answer 8(b)

The audit team should perform the following procedures:

- Understand from the management the details of the non-compliance.
- Check against any documentation which contains the details of the sanction and non-compliance. Verify the documentation of the penalties imposed by the government.
- Discuss with an external consultant who has full knowledge of these incidents.
- Obtain confirmation from management if remedial actions have been implemented.
- Evaluate if the financial impact from the penalties of HK\$1.2 billion in the financial statements have been properly recorded and adequately disclosed.
- With respect to the potential lawsuit, discuss with the management or its internal legal counsel to evaluate if the claims may have legal grounds. If applicable, obtain a written comment from the company's legal counsel. Consider if this is a significant estimate which may result in a provision or significant disclosure in the financial statements.
- Consider if a key audit matter should be reported if significant judgements were involved.
- Review board minutes or legal expenses accounts to identify if there are other lawsuits.
- Obtain a written management representation letter that states that all known actual or possible litigation is considered when preparing the financial statements.
- Communicate with those charged with governance (i.e., the audit committee) regarding the auditor's work addressing these incidences of non-compliance.

Answer 9

Date: Exam Date
To: Richard Wong
From: Janice Lee

Subject: Client and engagement acceptance considerations regarding the audit of the financial statements of Warrior Limited

Recently, we were approached by the Chief Financial Officer of Warrior Limited (the "Company") to act as auditor for the audit of its consolidated financial statements for the year ended 31 December 2022. Its outgoing auditor resigned as auditor in January 2023 due to audit fee reasons. The purpose of this memo is to analyse the situation of the Company and list out our considerations for client acceptance.

To consider whether our firm can accept the Company as an audit client, below are various aspects for your consideration:

(1) Management characteristics and integrity

We need to understand who the key management personnel of the company are by obtaining public information regarding management integrity.

(2) Organisation and management structure

Given the acquisition of various overseas subsidiaries, the organisation and management structure are complex. The newly acquired entities will probably undergo management restructuring post-acquisition.

We will be a group auditor. Significant components are located overseas and are subject to different rules and regulations.

In addition, as all these overseas components are newly acquired, the accounting team who will prepare the financial statements of these overseas components may not be familiar with the Group accounting policy.

One of the components is located in Ukraine, which is currently undergoing political instability. As a result, whether or not the component auditor can perform the audit may be in doubt.

The audit will be more complex as we need to rely on the component auditor's work.

(3) Nature of business

The Company is engaged in online gaming, and its entire revenue is generated online from its players. As a result, the complexity of the audit will increase.

(4) IT environment

We also need to consider whether the company has the capabilities in-house, or through its consultants, to manage the security of its data and whether it has appropriate IT general and security controls to protect its data internally and externally.

(5) Financial results

The Company has significant changes in its financial results when compared to previous years. The increase is mainly due to the various acquisitions completed during the year. These changes have increased the complexity of our audit.

(6) Team's competence

The audit requires the use of internal experts, such as our IT specialists, and the involvement of component auditors to audit the significant overseas subsidiaries. We need to consider if we have the necessary resources to undertake this work.

(7) Time table

The audit is required to be completed by the end of March 2023. There will be less than three months for us to complete the audit, including all communication with the component auditors. We need to consider if three months is a reasonable time for this audit engagement.

(8) Communication with the outgoing auditor

We need to obtain professional clearance from the outgoing auditor and, if possible, communicate with the outgoing auditor to ascertain if there were any disagreements or unresolved issues in connection with their resignation.

Please consider the above prior to accepting Warrior Limited as an audit client.

* * * END OF EXAMINATION PAPER * * *